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676545(76)

MBA (3rd Semester) Examination, Nov.-Dec., 2016

(New Scheme)

Taxation and Tax Planning

Time Allowed : 3 hours *Maximum Marks :* 80
Minimum Pass Marks : 32

Note : Attempt any **two** questions from each unit. All questions carry 8 marks each.

UNIT - I

(*a*) Explain the following terms :

(*i*) Assessee

(*ii*) Casual income

(*iii*) Assessment year

(*iv*) Income

(*b*) Following are the particulars of taxable income of Mr. Hemant Kachoriwala for the previous year ending on 31st March, 2016 :

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(*i*) Income from House Property in Canada ₹ 10,000 which was deposited in a bank in Canada. Out of this ₹ 4,000 were remitted to India.

(*ii*) Royalty received in India ₹ 24,000.

(*iii*) Income from business in Sri Lanka ₹ 25,000 of which ₹ 15,000 were received in India. The business is controlled from India.

(*iv*) Income from Investment in Paris ₹ 10,000.

(*v*) Interest received from a non-resident ₹ 5,000 against a loan given to him to run a business in India.

(*vi*) Royalty received from A, a resident, for technical services given to run a business outside India ₹ 20,000.

(*vii*) Income from business in India ₹ 40,000. This business is controlled from America.

(*viii*) Income from sale of house property in Gwalior ₹ 30,000.

Calculate the total income to Mr. Hemant Kachoriwala for the assessment year 2016-17, if he is (a) Resident, (b) Non-ordinary resident and (c) Non-resident in India.

(*c*) Mr. Bharat Pathak gives the following informations :

(*i*) Mr. Pathak first time went to Japan on 10th January, 2005 and came back to India on 22nd June, 2005.

(*ii*) On 30th September, 2008 he went to England and came back to India after 90 days.

(*iii*) On 16th July, 2011 he had gone to Sri Lanka and came back to India after staying 100 days.

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(*iv*) On 2nd December, 2013 he had gone to Nepal for 85 days.

(*v*) In the previous year 2015-16, he was out of India for 180 days.

He submits the following details of his incomes for the previous year :

(*i*) Salary ₹ 80,000 received in Japan for the services given in India.

(*ii*) Commission received in India for the services given in Sri Lanka ₹ 1,40,000.

(*iii*) Income from House Property situated in Nepal received in India ₹ 21,000.

(*iv*) Dividend of a England based company received in India ₹ 75,000.

(*v*) Profit of the business situated in Japan brought to India ₹ 5,00,000.

Determine residential status of Mr. Pathak for the previous year 2015-16 and explain that on which income he is liable to pay tax in India.

UNIT-II

(*a*) Compute income from salary of Shri Yashwant for the previous year ending 31st March, 2016 from the following details :

(*i*) Salary ₹ 27,500 per month and dearness allowance 60% of salary.

(*ii*) The employer provided him a small motor-car for official and personal use. Expenses borne by the employer. This facility is provided to him from 1st August, 2015.

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Prior he used the car for commuting between residence and office and official works.

(*iii*) Unfurnished rent-free house at Bhopal fair rent ₹ 36,000 annually and employer is owner.

(*iv*) His contribution to R.P.F. 15%. The employer's contribution is also 15%. ₹ 5,600 interest was credited to the fund at the rate of 14%.

(*v*) The employer provided him free telephone facility at his residence and bills paid by the employer during the previous year ₹ 3,600.

(*vi*) He is provided free meal, such facility is given for 248 days during the previous year. The cost per meal is ₹ 65.

(*vii*) Free use of health club facility provided by the company and cost of such facility is ₹ 600 P.M. This facility is available for each employee of the company.

(*viii*) The employer deducted ₹ 40,000 as income tax and ₹ 2,500 professional tax from his salary.

(*b*) Mr. X is employed in a factory as an accountant on a monthly salary of ₹ 12,000, dearness allowance of ₹ 1,200 p.m. He is a member of an Unrecognised Provident Fund to which he contributes 10% of his salary and his employer also contributes an equal amount. On 1st August, 2015 he resigned and joined another factory on the same data on a monthly salary of ₹ 16,000 *plus* a dearness allowance @ 10% of his salary. He received ₹ 40,000 (including ₹ 8,000 interest) from the unrecognized provident fund of

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which half the amount consisted of employer's contribution and interest thereon. In his new employment, he contributed 15% of his salary to a recognised provident fund while his employer contributed ₹ 16,160. He is also provided with an unfurnished rent-free house by the second employer in a city (population 12 lakh), the municipal valuation of which is ₹ 900 p.m. Find out his taxable salary income for the assessment year 2016-17, assuming salary to be due on the 1st day of the next month.

(*c*) Mr. A is owner of four houses, whose particulars are as under :

(*i*) Municipal valuation of houses ₹ 8,000, ₹ 6,000, ₹ 9,000 and ₹ 12,000 per annum respectively. Municipal tax is 10% of valuations which was paid by Mr. A.

(*ii*) The First house is occupied by Mr. A for self residence. Besides this he also uses 1/3 portion of the second house in self use, remaining 2/3 part is let out to Mr. Dileep at ₹ 300 per month, the third house is let out to Mr. Rajesh at ₹ 700 per month. Fourth house is let out to Bank of Maharashtra at ₹ 15,000 per annum.

(*iii*) The construction of third house was started on 1st July, 2011 and completed on 1st October, 2012. This house was let out on 1st January, 2013. He has taken a loan for construction of this house and interest paid ₹ 1,000 in the previous year 2015-16.

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Before it, he paid interest for past previous years as follows :

2011-12 ₹ 1,500, 2012-13 ₹ 1,400, 2013-14 ₹ 1,300 and 2014-15 ₹ 1,200.

Compute income from house property for the assessment year 2016-17.

UNIT - III

(*a*) Shri Pandey is reputed Vakil of Bikaner. He has prepared the following Income & Expenditure Account for the year ended 31st March, 2016 :

	₹		₹
Household expenses	12,000	Legal fees	1,26,000
Office Expenses	7,000	Special Commission appointment fees	1,400
Charity	500	Cash gifts received from Clients	2,000
Telephone Expenses	500	Hose rent	15,000
Income tax	900	Interest on Govt. Securities	3,000
Rent	4,000	Salary as part-time Lecturer in Law.	6,000
Gift to daughter	2,000		
Electricity Charges	1,000		
Donation of National Defence Fund	1,000		
Contribution to Public Provident Fund	2,400		
Law Journal	3,000		
Salaries	15,000		
Purchase of Motor-car	60,000		
Purchase of Furniture	2,000		
Life Insurance Premium	5,000		
Motor-car expenses	6,000		
Purchase of Typewriter	6,000		
Excess of Income over Expenditure.	25,100		
	1,53,400		1,53,400

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Following other particulars were received :

(*i*) Shri Pandey lives in one-half of the house and the other half is used for office. Rent and Electricity charges are in respect of this house.

(*ii*) One-half of car expenses are for personal use.

(*iii*) Depreciate Motor-car @ 15%, Typewriter @ 15% and Furniture @ 10%.

Compute his taxable income from business and profession for the assessment year 2016-17.

(*b*) Mr. Ajay sold some of his property during the year 1-4-2015 to 31-3-2016 as under :

(*i*) Jewellery costing ₹ 80,000 (which was acquired in June 2013) was sold for ₹ 1,00,000 in May 2015.

(*ii*) House to Kolkata : Let out for residential purposes. It was inherited by him in 1964. Sale Price on 31-10-2015 ₹ 14,00,000. Fair market value on 1-4-1981 ₹ 1,00,000. Cost of improvement made during 1989-90 ₹ 25,000. Expenses on transfer are ₹ 25,000.

(*iii*) Household Furniture costing ₹ 14,000 in 1999 was sold in March 2016 for ₹ 26,000.

(*iv*) Car was sold on 1-12-2015 for ₹ 45,000, its written down value on 1-4-2015 was ₹ 38,000.

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(*v*) Self-cultivated land was compulsorily acquired under a law for ₹ 8,00,000 on 1-1-2016 and its cost in 1982-83 was ₹ 65,400.

Compute his total capital gain. Cost inflation indices are 1981-82—100, 1982-83—109, 1989-90—172 and 2015-16—1081

(*c*) Mr. X, a resident individual, submits the following particulars of his income for the year ended 31st March, 2016 :

(*i*) Royalty from a coal mine ₹ 20,000.

(*ii*) Agricultural income in Pakistan ₹ 15,000.

(*iii*) Salary for a part-time job with a firm ₹ 21,000.

(*iv*) Salary as Member of Parliament ₹ 36,000.

(*v*) Daily Allowance as M.P. ₹ 15,000.

(*vi*) His residential house has been taken on a rent of ₹ 1,000 p.m., half of which he has sub-let at ₹ 1,200 p.m.

(*vii*) Dividend received from a co-operative society ₹ 5,000.

(*viii*) He has incurred the following expenses :

(*a*) Paid collection charges ₹ 100 for collecting dividends.

(*b*) ₹ 3,000 spent for earning and collecting royalty income.

Compute Mr. X's income from other sources for the assessment year 2016-17.

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UNIT-IV

(*a*) Explain the following :

(*i*) Section 80C

(*ii*) Section 80D

(*iii*) Section 80G

(*iv*) Section 80CCD

(*b*) Mr. Hanuman Prasad submits the following information relevant for the assessment year 2016-17 : https://www.csvtuonline.com

	₹
Income from units of M.F.	20,000
Profits of Business	12,000
Short-term Capital Gains	25,000
Long-term Capital Gains	7,500
Income from owning and maintaining race horses	25,000
Income from Crossword puzzles	28,000
The following items have been brought forward :	
Brought forward Business loss (from the A.Y. 2014-15)	17,000
Unabsorbed depreciation (from the A.Y. 2014-15)	8,000
Long-term Capital loss in respect of the assessment year 2012-13	42,000
Brought forward loss from the activity of owning and maintaining race horses of the assessment year 2014-15	35,000

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Speculation losses of the assessment year 2013-14	20,000

Find out the gross total income of Mr. Hanuman Prasad for the A.Y. 2016-17

(*c*) The following particulars are furnished to you by a Company official at Visakhapatnam in regard to the year ended 31st March. 2016. You are to compute his Total Income and the amount which is entitled to deduction u/s 80C :

(*i*) Salary ₹ 20,000 per month; Bonus three months' salary.

(*ii*) Contribution to recognized provident fund : 12 per cent of salary, the company also contributing 12 per cent.

(*iii*) Interest credited to provident fund at 9.5 per cent per annum amounted to ₹ 6,565 during the year.

(*iv*) He is in receipt of entertainment allowance from the company at ₹ 1,000 per month which he claims he has to spend in its entirety.

(*v*) He is provided with a rent-free unfurnished accommodation in city (population 22 lakh), the fair annual value of which is ₹ 22,000.

(*vi*) He pays life insurance; on own life ₹ 3,600 on a policy of ₹ 30,000 taken in 2014, and on his major son's life ₹ 850 on a policy of ₹ 20,000.

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(*vii*) He derives also further income from :

	₹
Dividend from Indian Companies (Gross)	4,000
Interest on Fixed Deposit with Scheduled Banks.	1,800
Income from units of Mutual Fund (Gross)	2,600

UNIT - V

(*a*) Distinguish between Tax Planning and Tax Evasion.

(*b*) Describe the procedure of assessment under the C.S.T. Act.

(*c*) What do you mean by VAT? Explain its advantages and disadvantages.

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